TERMS TO KNOW

ASSET-WISE SUM INSURED

Sum insured is the maximum amount up to which the insurance company will cover the risk. For instance, in case of property insurance, a sum insured of Rs. 80 lac means that all liability up to Rs. 80 lac will be paid by the insurance company and any liability above Rs. 80 lac will have to be borne by us. The sum insured decides how much premium we have to pay. We need to estimate the sum insured for each asset that we own.

PREMIUM

Premium is the upfront fee paid to the insurance company for covering our risks and if some liability arises, the insurance company pays the same and if nothing arises, the premium belongs to the insurance company. Premium is the price that we pay to transfer our risk to the insurance company.

RISK COVERED

Risk covered refers to the list of risks that have been covered by the insurance policy. For instance, some property insurance might cover the earthquake, whereas others might not. Thus, we need to understand the risks that are being covered for each type of insurance that we discussed earlier.

CLAIM COVENANTS

For each insurance policy, some covenants or details are in-built in the policy. These are conditions and restrictions to be followed by the policyholder. Claim covenants vary based on the type of insurance scheme and risks covered. One needs to understand claim covenants for each type of insurance that they are getting for themselves.